

But the reorganization plan for the Chicago, Rock Island & Pacific Ry. Co. provides substantially for their emergence undisturbed as a small underlying issue of the system. (See discussion of this issue on p. 706.)

NOTE 11

PRICE PERFORMANCE OF RAILROAD AND PUBLIC-UTILITY BONDS IN 1937-1938 AS RELATED TO EARNINGS COVERAGE IN 1936

A. Railroad Bonds:

The bonds of 37 railroads listed on the New York Stock Exchange and not in receivership in January 1937 were classified according as they earned their fixed charges more than $2\frac{1}{2}$ times or less than twice in 1936. (Only the Atchison and Bangor & Aroostook earned their charges *between* 2 and $2\frac{1}{2}$ times.) For each road an active issue was taken representing the most junior lien. The following table reflects the average performance of the bonds falling in three categories:

Item	Total interest earned in 1936	Average per \$1,000 bond		
		Coupon rate	1937-1938	
			High price	Low price
Class I: 7 dividend-paying roads, interest earned over $2\frac{1}{2}$ times	4.68 times	4.04%	$112\frac{1}{2}$	$100\frac{3}{4}$
Class II: 12 dividend-paying roads, interest earned less than twice	1.50 times	4.56%	$105\frac{3}{4}$	64
Class III: 18 nondividend roads, interest earned less than twice	1.17 times	4.44%	$93\frac{3}{4}$	$29\frac{1}{2}$

Only one bond issue in Class I declined more than 10%. (It was the Chesapeake & Ohio General $4\frac{1}{2}$ s, due 1992, which later recovered nearly all its loss.)